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MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS), MGU-B.VOC (HONOURS)
REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026
SECOND SEMESTER
Multi-Disciplinary Elective (MDE)- MG2MDCCOM100- FUNDAMENTALS OF ACCOUNTING
(2024 ADMISSION ONWARDS)

Duration: 1 Hour 30 Minutes Max. Marks: 50

Part A

Very Short Answer Questions- Answer any **10**. Each carry **1** mark.

1. Luca Pacioli
2. Assets = Liabilities + Capital
3. Assets
4. Simple journal entry: An entry in which only two accounts are affected- one is debited and other is credited.
5. Increase in income or revenue
6. A journal is a book of original entry where transactions are recorded chronologically while a ledger is the principal book of secondary entry where transactions are classified and posted into individual accounts.
7. Journal proper is a subdivision of journal used to record transactions that cannot be recorded in any other subsidiary books.
8. It cannot detect errors of omission and does not prove absolute accuracy.(Any relevant point)
9. Gross profit- profit after deducting the costs associated with making and selling its products. Net profit- profit after all operating expenses and taxes have been deducted from total revenue.
10. Gross Profit = Net sales – Cost of goods sold
11. Grouping and marshalling of accounts- Process of arranging assets and liabilities in a specific order in a Balance Sheet.
12. Balance Sheet.

(1x10=10)

Part B

Short answer questions. Answer any **4** questions that carries **5** marks each.

13. Accounting Equation (Any format is acceptable)

Sl. No.	**Transaction**	**Assets**	**=**	**Liabilities**	**+**	**Capital**
1	Commenced business with cash	+1,50,000		0		+1,50,000
	New Equation	**1,50,000**	**=**	**0**	**+**	**1,50,000**
2	Purchased goods on credit	+40,000		+40,000		0
	New Equation	**1,90,000**	**=**	**40,000**	**+**	**1,50,000**
3	Withdrew cash for personal use	-10,000		0		-10,000
	New Equation	**1,80,000**	**=**	**40,000**	**+**	**1,40,000**
4	Sold goods	10,000		0		+10,000
	New Equation	**1,90,000**	**=**	**40,000**	**+**	**1,50,000**
5	Paid rent	-5,000		0		-5,000
	New Equation	**1,85,000**	**=**	**40,000**	**+**	**1,45,000**

14. **Book of Arnav Enterprises, Thiruvananthapuram**

Date	Particulars	Invoice No.	L.F	Details	Amount (₹)
2024 Sep 3	Black & White enterprises, Kottayam				
	20 refrigerators @ ₹25,000 each			5,00,000	
	10 Mixer Grinders @ ₹10,000 each			1,00,000	
				6,00,000	
	Less: Trade discount @ 10%			(60,000)	**5,40,000**
Sep 30	Sales Account Cr.				**5,40,000**

(*Cash sales are not recorded in Sales Book. So, second transaction is excluded)

15. Procedures for balancing an account

a. Total both debit and credit sides
b. Find the difference between both sides.
c. Enter the balancing figure: if the debit side > credit side, then write difference on credit side as 'By Balance c/d'. If the debit side < credit side, then write difference on debit side as 'To Balance c/d'.
d. Tally the totals.
e. Bring down the balance as 'To Balance b/d or By Balance b/d'.

16. Nature of accounts in Trial Balance (Any imaginary figures can be used

Account Name	Nature of Account	Trial Balance Column
Buildings	Asset	Debit
Opening Stock	Asset	Debit
Cash at bank	Asset	Debit
Sundry Creditors	Liability	Credit
Sundry Debtors	Asset	Debit
Capital	Equity	Credit
Sales	Income	Credit
Purchases	Expense	Debit
Discount allowed	Expense	Debit
Rent received	Income	Credit

17. **Books of Mr. Sharma**

Trading Account for the year ended 31st March 20xx

Particulars		₹	Particulars		₹
To Opening Stock		60,225	By Sales	2,81,505	
			Less: Return i/w s	1,875	2,79,630
To Purchases	1,99,080		By Closing Stock		63,705
Less: Return o/w	1,455	1,97,625			
To Manufacturing wages		46,875			
To Carriage inward		15,175			
To Coal gas and water		1,100			
To Factory fuel and power		1,305			
To Gross Profit c/d		21,030			
		3,43,335			**3,43,335**

18. A balance sheet is a statement showing company's financial position (assets, liabilities, equity) at a **specific point in time**, while a profit and loss (P&L) statement summarizes revenues, expenses, and net income over a **period of time**. The P&L shows performance (profitability), while the balance sheet shows solvency and net worth. **(Any relevant 4 points)** **(5x4=20)**

Part C

Essay questions- Answer any **2** questions. Each carry **10** marks.

19. Ledger Accounts- (Main accounts only)

Cash A/c

Date	Particulars	₹	Date	Particulars	₹
02.03.24	To Debtors	2,800	15.03.24	By Salaries	2,000
11.03.24	To Debtors	7,200	25.03.24	By Drawings	2,000
31.03.24	To Sales	4,500	30.03.24	By Creditors	6,000
			31.03.24	By Balance c/d	4,500
		14,500			**14,500**

Debtors A/c

Date	Particulars	₹	Date	Particulars	₹
08.03.24	To Sales	8,000	02.03.24	By Cash	2,800
31.03.24	To Balance c/d	3,000	02.03.24	By Discount allowed	200
			11.03.24	By Cash	7,200
			11.03.24	By Discount allowed	800
		11,000			**11,000**

Creditors A/c

Date	Particulars	₹	Date	Particulars	₹
20.03.24	To Purchase Return	1,000	06.03.24	By Purchases	9,000
30.03.24	To Cash	6,000			
30.03.24	To Discount Received	1,000			
31.03.24	To Balance c/d	1,000			
		9,000			**9,000**

Sales A/c

Date	Particulars	₹	Date	Particulars	₹
31.03.24	To Balance c/d	12,500	08.03.24	By Debtors	8,000
			31.03.24	By Cash	4,500
		12,500			**12,500**

20. **M/s LMN & Co.**

Trading and Profit & Loss Account for the year ending 31st March 20xx

Particulars		₹	Particulars		₹
To Opening Stock		60,000	By Sales	5,00,000	
			Less: Return	25,000	4,75,000
To Purchases	2,50,000		By Closing Stock		80,000
Less: Return	8,000	2,42,000			
To Carriage inward		9,000			
To Freight inward		7,000			
To wages		22,000			
To Gross Profit c/d		2,15,000			
		5,55,000			**5,55,000**
To Salaries		28,000	**By Gross Profit b/d**		**2,15,000**
To Rent		20,000	By Discount received		4,000

To Office expenses	16,000	By Commission received	10,000
To discount allowed	6,000		
To Interest on loan	9,000		
To Depreciation	12,000		
To Advertisement expenses	14,000		
To Net Profit	**1,24,000**		
	2,29,000		**2,29,000**

21. **M/s Alpha Traders**

Profit and Loss A/c for the year ending 31st March 20xx

Particulars	₹	Particulars	₹
To Salaries	30,000	**By Gross Profit b/d**	**1,20,000**
To Rent	15,000	By Interest received	5,000
To Office expenses	10,000		
To Net Profit	**70,000**		
	1,25,000		**1,25,000**

Balance Sheet as on 31st March 20xx

Liabilities		₹	Assets	₹
Capital	2,00,000		Furniture	50,000
+ Net Profit	70,000	2,70,000		
Creditors		40,000	Plant & Machinery	2,30,000
Bank Loan		30,000	Debtors	35,000
			Cash in hand	25,000
		3,40,000		**3,40,000**

(10x2=20)